



Exterior of Sify Technologies' data centre at Siruseri in Chennai



A view of the colocation hall of Equinix's data centre

make sense where there is strong power availability, improving connectivity, and support from state governments, particularly for AI, cloud, and enterprise workloads. Any expansion into these markets will be driven by long-term demand and infrastructure readiness," says Bajpai.

Industry watchers expect this shift to become more widespread

over the next two years, as the demand for AI inferencing, coupled with industrial and consumer demand, kicks in.

POLICY BOOST

The recent budgetary announcement proposing tax incentives for companies hosting their data in India has brought much cheer to the industry. The move aims

to position India as a global AI and cloud hub—similar to what Singapore and Malaysia have done—by offering a tax holiday till 2047 to foreign cloud providers using domestic data centres. "The tax exemption sends a clear signal to investors by reinforcing India's structural cost and efficiency advantages in data centre operations. It is expected to encourage existing facilities to scale international services, while prompting new and marginal players to adopt hybrid operating models that balance offshore capacity with increased deployment within India to optimise returns," says KPMG's Purushothaman.

Despite the challenges, India is among the lowest cost countries when it comes to building and running a data centre. Neysa's Sanghi points out that this also allows these companies to tap into India's skilled talent pool. "These incentives make it possible for companies to make India their regional hub," he says.

A CHALLENGE LOOMS: SUSTAINABILITY

A data centre boom comes with its own set of hurdles, environment being a primary one. In several countries like the US, there is a backlash against data centres because of their resource-hungry nature. Cities are protesting heavy power and water consumption—often rivaling the amount consumed by the rest of the town. This is where the focus on green data centres and sustainable practices will pay off, say industry watchers.

Companies are putting in place a slew of initiatives to offset their carbon footprint. "Most customers are conscious about their carbon footprint and would